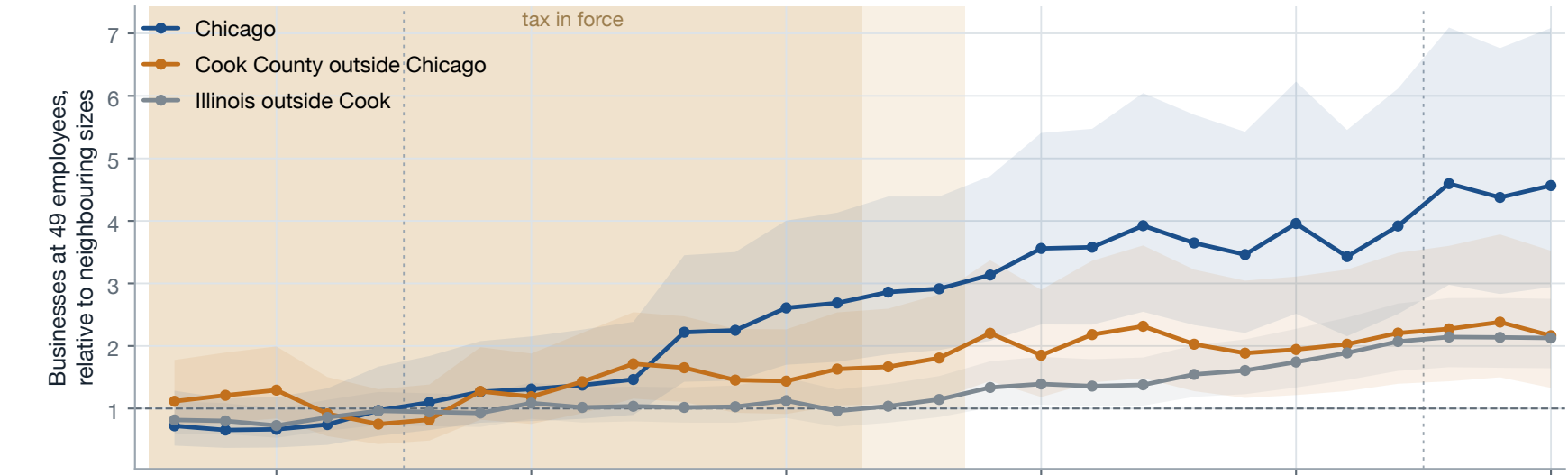


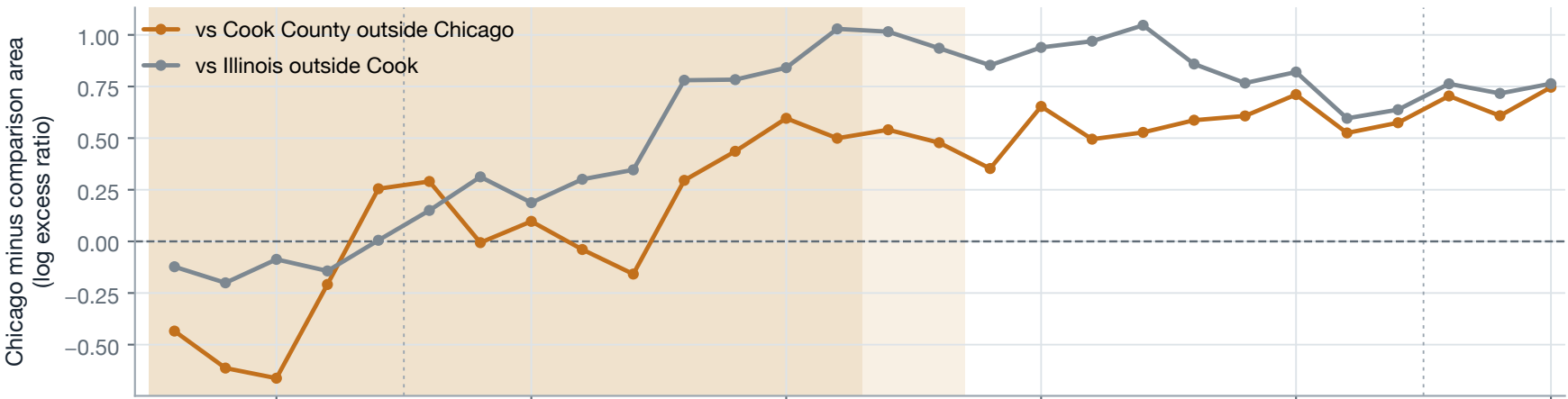
No evidence that the head tax caused bunching below 50 employees

Businesses reporting exactly 49 employees, the last size below the old threshold, 1998-2025

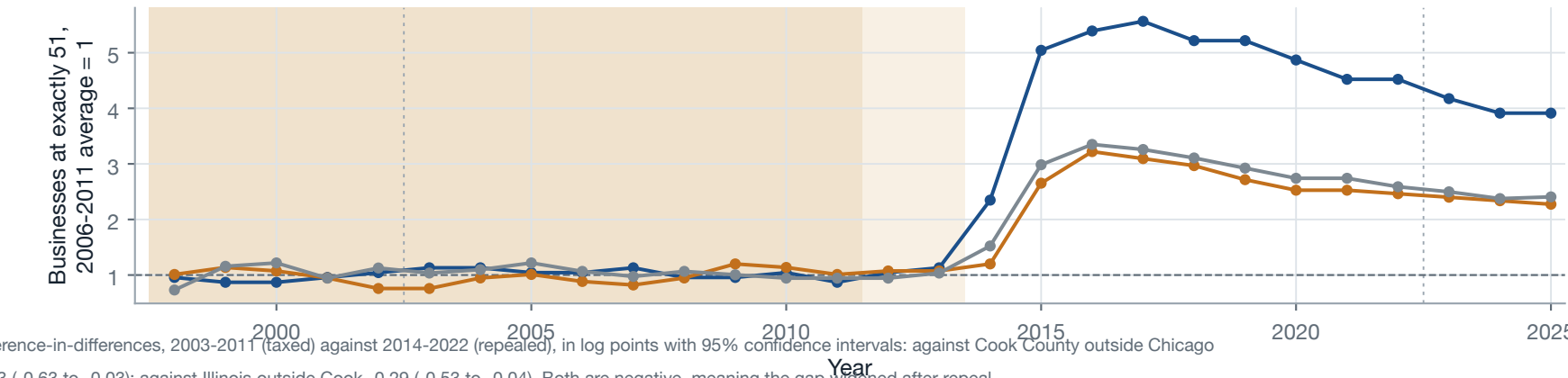
Excess at 49 rises in all three areas, including one that never had the tax



The test: a tax effect would make this gap close after the 2014 repeal. It does not.



What misled the first pass: a data-vendor jump at 51 employees, in all three areas at once



Difference-in-differences, 2003-2011 (taxed) against 2014-2022 (repealed), in log points with 95% confidence intervals: against Cook County outside Chicago -0.33 (-0.63 to -0.03); against Illinois outside Cook -0.29 (-0.53 to -0.04). Both are negative, meaning the gap widened after repeal.

Across eight specifications (three comparison areas, two baselines, two samples) none is positive and statistically significant. Excess mass = businesses at 49 divided by the average at 46-48 and 52-54, skipping 51.

Single-location businesses with vendor-verified headcounts; 1997 excluded for lack of a verification flag. Dotted lines mark vendor coding changes. Source: Data Axle (Infogroup) historical business files, 1997-2025.